

Document: fake_contract.pdf

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PLAIN ENGLISH SUMMARY

OFFER LETTER AND EMPLOYMENT AGREEMENT → This is an introductory section, stating that the document is an offer for the position of Software Engineer at TechCorp Solutions Pvt. Ltd. It includes the company's address and the date of the offer. This section is standard and simply sets the stage for the employment terms.

1. POSITION AND START DATE → This section outlines your specific job title, Software Engineer, and who you will report to, the Engineering Manager. It also states your expected first day of work, July 15, 2026. This is a standard and harmless section.

2. COMPENSATION → You will receive an annual salary of Rs. 12,00,000, paid out each month. However, any performance bonuses are entirely up to the company and are not guaranteed. This is a standard section detailing your pay.

3. PROBATION PERIOD → You will be on a trial period for six months starting from your first day of work. During this time, either you or the company can end your employment with just 7 days' written notice. The company also has the right to extend this probation period if it chooses.

4. INTELLECTUAL PROPERTY ASSIGNMENT → You agree that anything you create or invent while working for the company, like software, ideas, or designs, belongs entirely to TechCorp Solutions. This is true even if you create it outside of work hours or without company tools. You must legally transfer all rights to these creations to the company, and this rule continues even after you leave.

5. NON-COMPETE CLAUSE → For two years after you leave the company, for any reason, you cannot work for or have any financial interest in a business that competes with TechCorp Solutions, anywhere in India or globally. If you break this rule, the company can sue you for at least Rs. 50,00,000 in damages.

6. NON-SOLICITATION → For two years after your employment ends, you are not allowed to try to hire or recruit any of TechCorp Solutions' employees or contractors. You also cannot try to take away any of the company's clients, customers, or vendors.

7. CONFIDENTIALITY → You must keep all company secrets, business plans, and client information private forever, both while you're employed and after you leave. If you reveal any of this information, you

will have to pay the company Rs. 25,00,000 each time it happens.

8. INDEMNIFICATION → You agree to protect the company, its leaders, and employees from any legal claims, costs, or damages that result from your actions while working. There is no limit to the amount you might be responsible for under this protection.

9. MANDATORY ARBITRATION → Any disagreements arising from this agreement must be settled privately through arbitration in Bengaluru, following Indian law. You give up your right to a jury trial or to join a class-action lawsuit. The decision made by the arbitrator will be final and cannot be appealed.

10. UNILATERAL AMENDMENT → The company can change the terms of your job, including your pay, benefits, role, and duties, at any time it chooses. The company only needs to give you 30 days' written notice before making these changes.

11. GOVERNING LAW AND JURISDICTION → This agreement is legally bound by the laws of the State of Karnataka, India. Any disputes or legal matters related to this agreement will only be handled by courts located in Bengaluru. This is a standard section specifying which laws apply and where disputes would be heard.

12. AT-WILL EMPLOYMENT AND TERMINATION → Even with the probation terms, the company can end your employment at any time, for any reason or no reason, and with or without prior notice. If your job ends, you must return all company property within 24 hours.

Accepted and agreed: → This is the final section where you and an authorized company representative will sign and date the document to confirm your agreement to all the terms listed. This is a standard and harmless section.

RISK FLAGS

1	MEDIUM	Here are the flagged risks in your employment agreement:
2	MEDIUM	**Clause:** "The Company reserves the right to extend the probation period at its sole discretion." * **Why it's risky:** This gives the company unilateral power to extend your probation. During probation, your employment is typically less secure, meaning the company can terminate your employment with minimal notice (7 days as per clause 3). An extension prolongs this period of reduced job security. * **Severity:** MEDIUM * **What to ask a lawyer about:** * Can the company extend probation indefinitely? * Are there any legal limits on probation extension in India? * What protections do I have if my probation is extended without a clear reason?

3

HIGH

****Clause:** "You agree that all inventions, software, code, ideas, designs, processes, and works of authorship that you create, conceive, or develop during your employment · whether during or outside of working hours, and whether or not using Company resources · shall be the sole and exclusive property of TechCorp Solutions Pvt. Ltd. You irrevocably assign all such intellectual property rights to the Company."**

* ****Why it's risky:**** This clause is extremely broad. It claims ownership of anything you create, conceive, or develop even outside of working hours and without using company resources. This could potentially include personal projects, side hustles, or creative works developed in your own time, which could severely limit your ability to pursue personal innovation or future ventures. * ****Severity:**** HIGH * ****What to ask a lawyer about:**** * Is this clause enforceable under Indian law, especially regarding creations outside of work hours and without company resources? * Can I negotiate to exclude personal projects or prior inventions from this assignment? * What is the process for declaring personal IP to avoid future disputes?

4

HIGH

****Clause:** "For a period of two (2) years following the termination of your employment, for any reason whatsoever, you agree not to directly or indirectly engage in, work for, advise, or have any financial interest in any business that competes with the Company anywhere in India or globally. Violation of this clause entitles the Company to seek injunctive relief and damages of not less than Rs. 50,00,000 (Rupees Fifty Lakhs)."**

* ****Why it's risky:**** This is a very restrictive non-compete clause. * ****Broad Scope:**** "Anywhere in India or globally" is an extremely wide geographic restriction, making it very difficult to find comparable employment after leaving the company. * ****Long Duration:**** Two years is a significant period during which you would be unable to work in your field. * ****Penalty:**** The specified damages of "not less than Rs. 50,00,000" (approx. \$60,000 USD) is a substantial financial penalty, making any violation very costly. * Such broad non-competes are often challenged in court for being against public policy or an unreasonable restraint of trade, but defending such a claim can be expensive. * ****Severity:**** HIGH * ****What to ask a lawyer about:**** * Is this non-compete clause legally enforceable in India given its global scope and duration? * What specific types of businesses would be considered "competing"? * Can the scope (geographical or temporal) or the penalty be negotiated to be more reasonable?

5

MEDIUM

****Clause:** "For a period of two (2) years after your employment ends, you shall not solicit, hire, or attempt to hire any employee or contractor of TechCorp Solutions, nor shall you solicit any client, customer, or vendor of the Company."**

* ****Why it's risky:**** This non-solicitation clause, while common, is quite broad in its scope (employees, contractors, clients, customers, vendors) and duration (2 years). It could significantly restrict your ability to build a new team or business, or work with previous contacts, after leaving the company. * ****Severity:**** MEDIUM * ****What to ask a lawyer about:**** * Is a two-year non-solicitation period considered reasonable under Indian law? * What is the definition of "solicit" in this context? * What steps should I take to ensure I don't accidentally violate this clause?

6

HIGH

****Clause:** "You agree to maintain strict confidentiality of all Company information, trade secrets, business strategies, and client data, both during and after employment, for an unlimited period of time. Breach of this clause shall result in liquidated damages of Rs. 25,00,000 (Rupees Twenty-Five Lakhs) per incident."**

* ****Why it's risky:**** * ****Unlimited Duration:**** Maintaining confidentiality for an "unlimited period of time" can be overly broad, especially for general business strategies or client data that may become common knowledge or outdated over time. This can restrict your future employment options in the same industry. * ****High Penalty "Per Incident":**** A liquidated damage of Rs. 25,00,000 (approx. \$30,000 USD) "per incident" is an extremely high penalty. Multiple minor breaches could lead to devastating financial consequences. * ****Severity:**** HIGH * ****What to ask a lawyer about:**** * Is "unlimited period of time" enforceable for all types of information mentioned? * What specific information qualifies as a "trade secret" versus general "company information"? * Can the liquidated damages be negotiated to a more reasonable amount or changed to actual damages?

7

HIGH

****Clause:** "You agree to indemnify and hold harmless TechCorp Solutions... from any and all claims, damages, liabilities, costs, and expenses arising out of or related to your actions during employment, without any limitation on the amount of indemnification."**

* ****Why it's risky:**** This is an unlimited indemnification clause. It means you could be held personally responsible for any and all financial losses the company incurs due to your actions during employment, with no cap on the amount. This exposes you to potentially crippling financial liability, far beyond your salary or ability to pay. * ****Severity:**** HIGH * ****What to ask a lawyer about:**** * Can this clause be limited to actions constituting gross negligence or willful misconduct, rather than "any and all claims"? * Can a cap be placed on the amount of indemnification, for example, linked to your annual salary? * Does the company provide D&O; (Directors and Officers) insurance or other professional liability insurance that would cover you?

8

HIGH

****Clause:** "Any dispute arising under this agreement shall be resolved exclusively through binding private arbitration in Bengaluru... You waive your right to a jury trial or class action. The arbitrator's decision shall be final and not subject to appeal."**

* ****Why it's risky:**** This clause forces you into arbitration, which means you give up your right to sue the company in a public court. * ****Loss of Rights:**** You waive your right to a jury trial and participation in class-action lawsuits. * ****Lack of Appeal:**** The arbitrator's decision is final and cannot be appealed, limiting your avenues for redress if you believe the decision is unfair. * ****Confidentiality:**** Arbitration proceedings are typically private, which can benefit the company by keeping disputes out of public view. * ****Severity:**** HIGH * ****What to ask a lawyer about:**** * What are the pros and cons of arbitration vs. litigation in India for employment disputes? * Can the arbitration clause be modified to allow for specific types of claims (e.g., harassment) to be pursued in court, or to permit limited judicial review? * Who bears the cost of arbitration?

9	HIGH	**Clause:** "The Company reserves the right to modify the terms and conditions of your employment, including compensation, benefits, role, and responsibilities, at any time and at its sole discretion, with 30 days written notice to you." * **Why it's risky:** This is a unilateral amendment clause, giving the company the power to change fundamental terms of your employment (salary, benefits, job role) at any time. While 30 days notice is given, your only practical recourse might be to accept the new terms or resign, as you have no power to negotiate. This creates significant job insecurity regarding your future compensation and role. * **Severity:** HIGH * **What to ask a lawyer about:** * Is this clause enforceable, particularly if changes significantly disadvantage the employee? * Can this be negotiated to require mutual agreement for changes to core terms like compensation or role? * What are my rights if the company makes a change I don't agree with?
10	HIGH	**Clause:** "Notwithstanding the probation terms, the Company may terminate your employment at any time, with or without cause, and with or without notice, at its sole discretion." * **Why it's risky:** This is an "at-will" employment clause, meaning the company can fire you at any time, for any reason (or no reason), and without providing notice or severance, even if you are past your probation period. This provides very little job security and significantly favors the employer. * **Severity:** HIGH * **What to ask a lawyer about:** * What are the legal implications of "at-will" employment in India compared to other forms of employment? * Can this clause be negotiated to require "cause" for termination or a specific notice period/severance payment? * Does this negate any notice period mentioned elsewhere in the contract (e.g., during probation)?
11	LOW	**Clause:** "This agreement is governed by the laws of the State of Karnataka, India. All disputes shall be subject to the exclusive jurisdiction of courts in Bengaluru." * **Why it's risky:** While standard for a company based in Bengaluru, this clause specifies that only the laws of Karnataka, India, will apply to the agreement, and disputes must be heard in Bengaluru courts. If you are not based in Karnataka or India, or plan to move, this could make it very inconvenient and costly to pursue any legal claims against the company. * **Severity:** LOW (Standard for the company location, but important for user to be aware of the specific legal framework and potential travel implications if they reside elsewhere.) * **What to ask a lawyer about:** * What are the implications if I am not an Indian citizen or if I reside in a different state/country? * What would be the cost and process of filing a legal dispute in Bengaluru from my current location?